ASIAN DEVELOPMENT OUTLOOK 2018 UPDATE

MAINTAINING STABILITY AMID HEIGHTENED UNCERTAINTY

SEPTEMBER 2018

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Asian Development Outlook 2018

Maintaining Stability Amid Heightened Uncertainty

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Asian Development Bank

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Key messages

- **Developing Asia to continue solid growth at 6.0% in 2018 and 5.8% in 2019**
  - **Robust consumption and expanding services boost growth in the People's Republic of China (PRC)**
  - **India rebounding as headwinds fade**
- **Inflation under control despite rising fuel and food prices**
- **Largest downside risk stems from escalating US–PRC trade conflict**
- **Heightened global uncertainty exposed pockets of vulnerability; stabilization policy must be tapped when needed**

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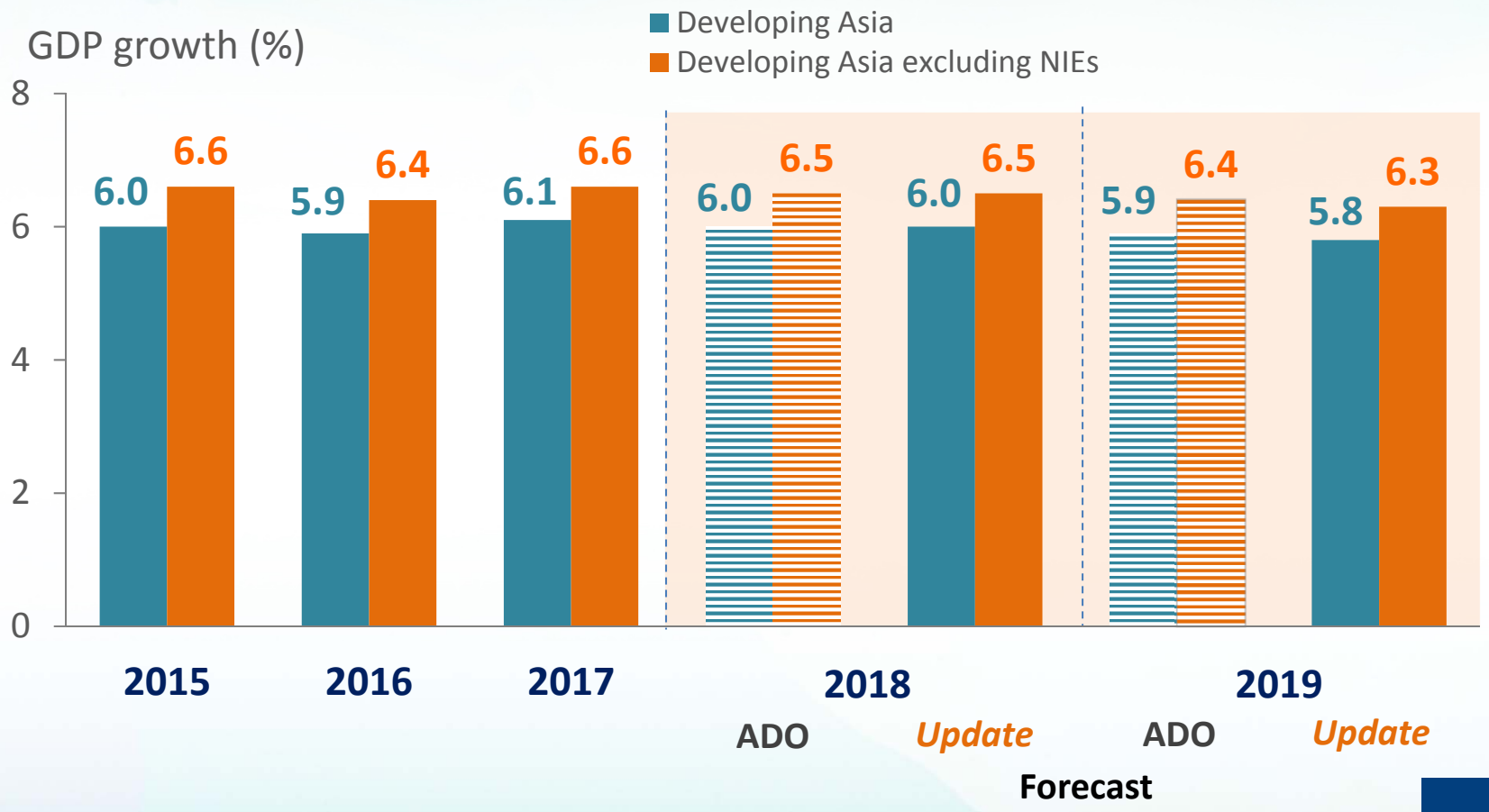
Developing Asia's growth held up well…



NIEs = newly industrialized economies of Hong Kong, China; Republic of Korea; Singapore; and Taipei,China
Source: *Asian Development Outlook* Database.

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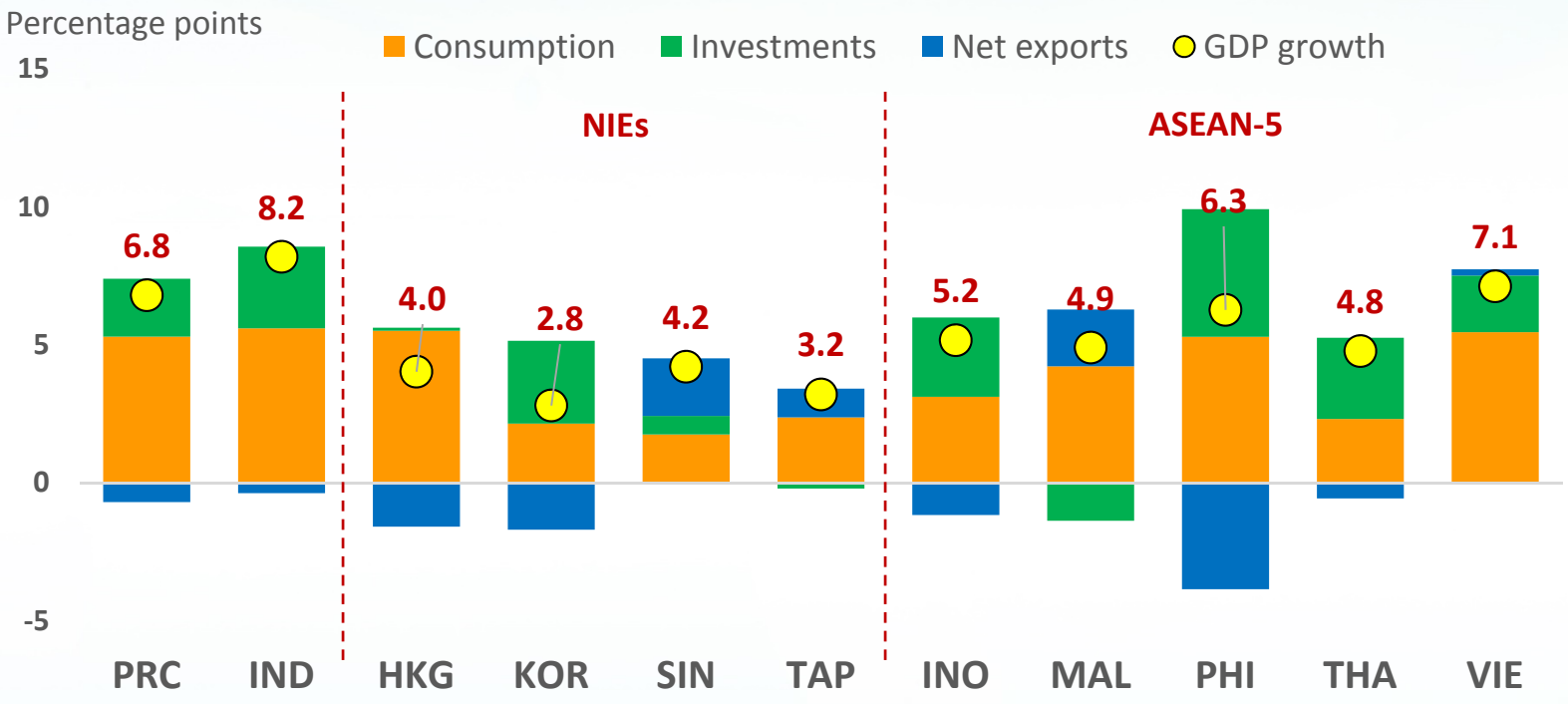
…bolstered by strong domestic demand…

Demand-side contributions to growth, selected economies, first half 2018



Notes: ASEAN = Association of Southeast Asian Nations; NIEs = newly industrialized economies; GDP = gross domestic product; HKG = Hong Kong, China; IND = India; INO = Indonesia; KOR = Republic of Korea; MAL = Malaysia; PHI = the Philippines; PRC = People's Republic of China; SIN = Singapore; TAP = Taipei,China; THA = Thailand. IND data refers to Q1 FY2018. Components do not add up to total due to a statistical discrepancy.

Sources: Haver Analytics and CEIC Data Company (accessed 17 September 2018); *Asian Development Outlook* database.

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…and continued robust growth in major advanced economies

GDP growth (%)	2016	2017	2018		2019	
	Actual		*ADO*	*Update*	*ADO*	*Update*
Major industrial economies	1.6	2.3	2.3	2.3	2.0	2.0
United States	1.6	2.2	2.7	2.8	2.3	2.4
Euro area	1.8	2.5	2.2	2.0	1.9	1.9
Japan	1.0	1.7	1.4	1.1	1.0	1.0

[a] Average growth rates are weighed by gross national income, Atlas method.
Sources: US Department of Commerce, Bureau of Economic Analysis, http://www.bea.gov; Eurostat, http://epp.eurostat.ec.europa.eu; Economic and Social Research Institute of Japan, http://www.esri.cao.go.jp; Consensus Forecasts; Bloomberg; CEIC Data Company; Haver Analytics; World Bank, Global Commodity Markets, http://www.worldbank.org; ADB estimates.

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Outlook varies across countries

	2018		2019			2018		2019	
	ADO	*Update*	*ADO*	*Update*		*ADO*	*Update*	*ADO*	*Update*
East Asia	**6.0**	**6.0**	**5.8**	**5.7 ↓**	**South Asia**	**7.0**	**7.0**	**7.2**	**7.2**
China, People's Rep. of	6.6	6.6	6.4	6.3 ↓	Bangladesh	7.0	7.9 ↑	7.2	7.5 ↑
Hong Kong, China	3.2	3.7 ↑	3.0	3.0	India	7.3	7.3	7.6	7.6
Korea, Rep. of	3.0	2.9 ↓	2.9	2.8 ↓	Pakistan	5.6	5.8 ↑	5.1	4.8 ↓
Taipei,China	2.9	3.0 ↑	2.8	2.8					
					Central Asia	**4.0**	**4.1 ↑**	**4.2**	**4.2**
Southeast Asia	**5.2**	**5.1 ↓**	**5.2**	**5.2**	Azerbaijan	1.7	1.7	2.0	2.0
Indonesia	5.3	5.2 ↓	5.3	5.3	Kazakhstan	3.2	3.7 ↑	3.5	3.9 ↑
Malaysia	5.3	5.0 ↓	5.0	4.8 ↓					
Philippines	6.8	6.4 ↓	6.9	6.7 ↓	**The Pacific**	**2.2**	**1.1 ↓**	**3.0**	**3.1 ↑**
Singapore	3.1	3.1	2.9	2.9	Fiji	3.6	3.6	3.3	3.3
Thailand	4.0	4.5 ↑	4.1	4.3 ↑	Papua New Guinea	1.8	0.5 ↓	2.7	3.0 ↑
Viet Nam	7.1	6.9 ↓	6.8	6.8					
Developing Asia	**6.0**	**6.0**	**5.9**	**5.8 ↓**	**Excluding NIEs**	**6.5**	**6.5**	**6.4**	**6.3 ↓**

Notes: ↑ Upgraded forecast; ↓ Downgraded forecast; and no symbol = unchanged.

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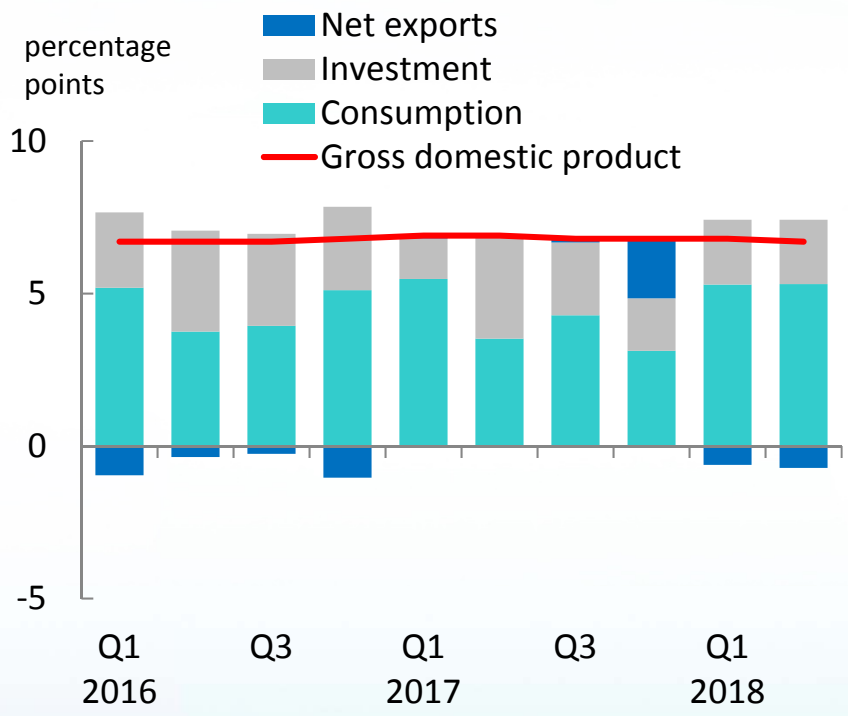
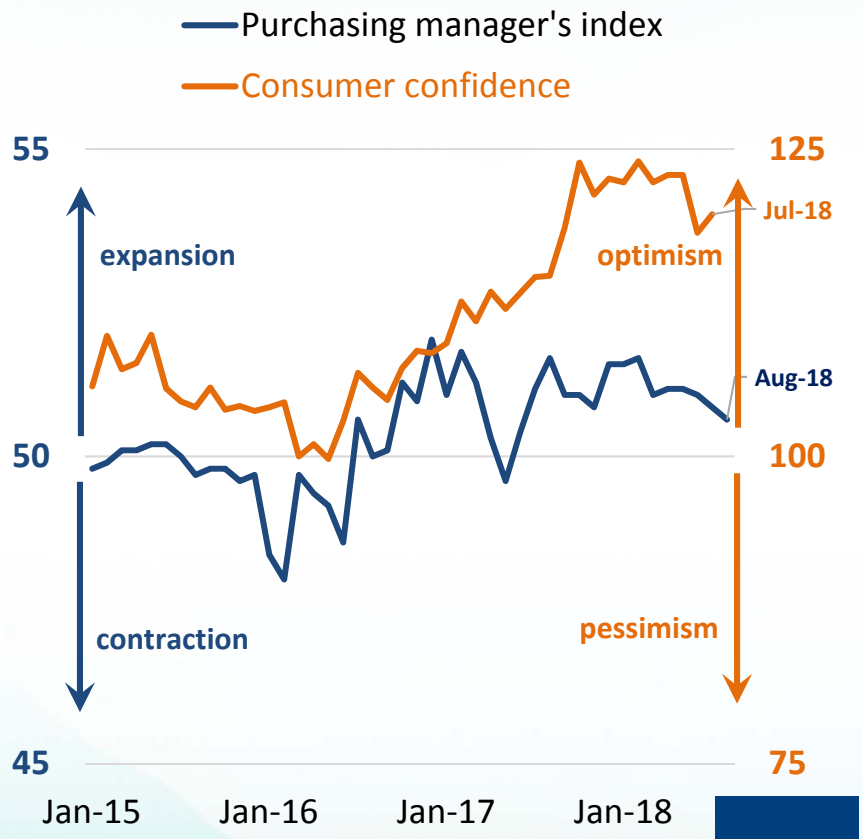
PRC growth on track, amidst downside risks in trade

Demand-side contributions to growth



Source: National Bureau of Statistics of China (accessed 17 September 2018).

Confidence indicators



Source: CEIC Data Company (accessed 22 September 2018).

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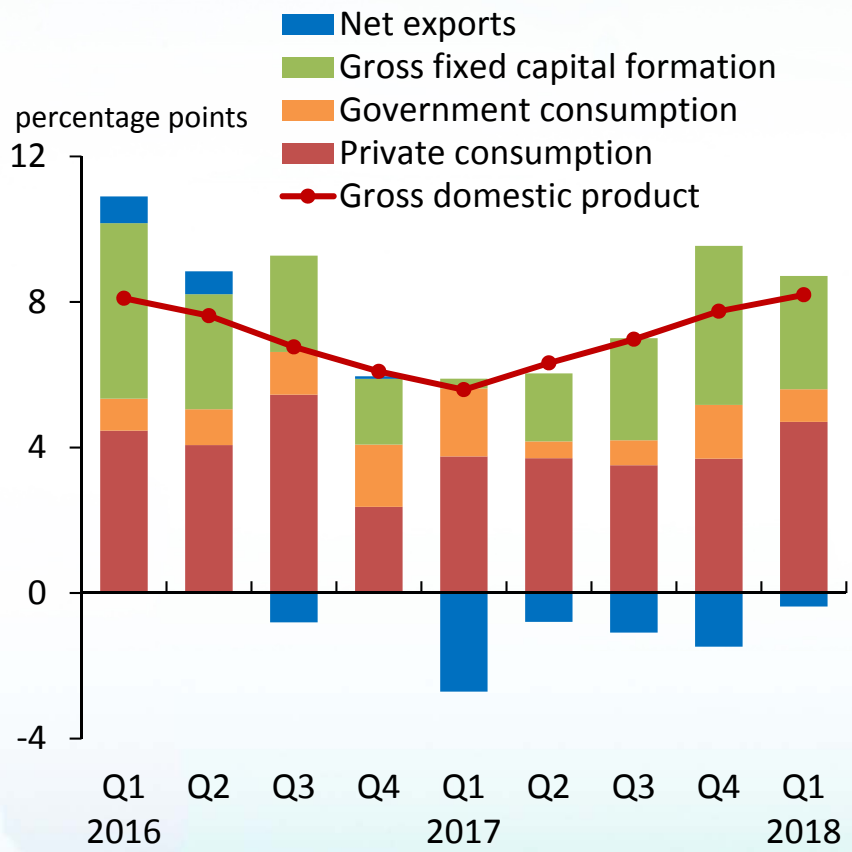
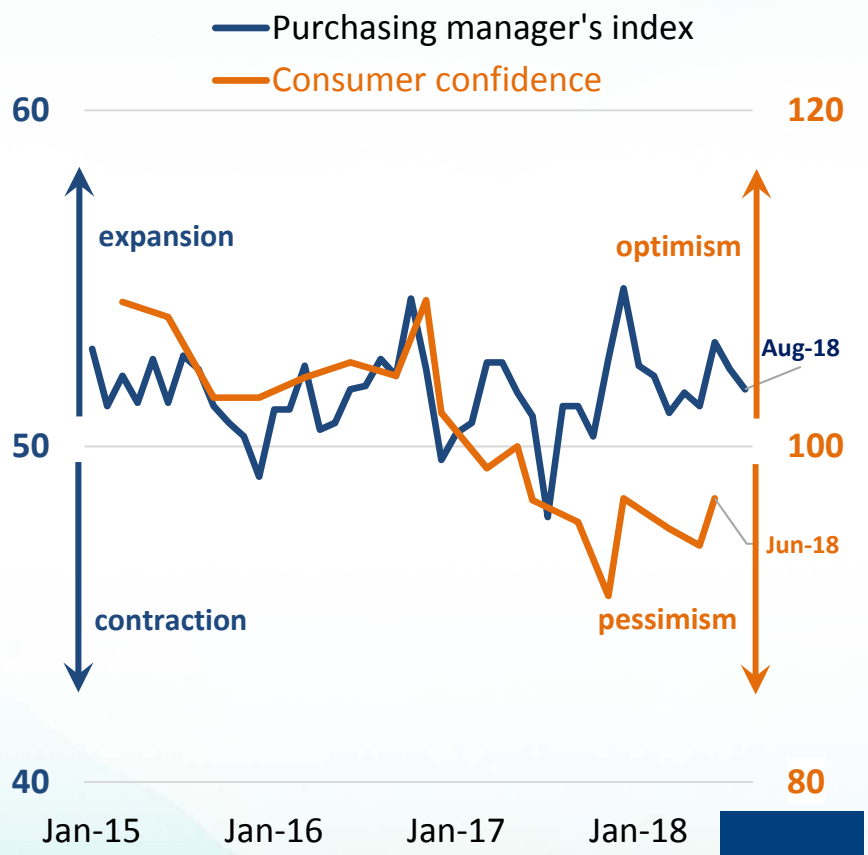
India growth picks up as headwinds fade

Demand-side contributions to growth



Note: Refers to fiscal years, Q1 refers to data for April–June. Supply-side output at basic prices. Excludes other expenditures such as valuables, changes in inventories, and statistical discrepancy.
Source: CEIC Data Company (accessed 17 September 2018).

Confidence indicators



Source: CEIC Data Company (accessed 22 September 2018).

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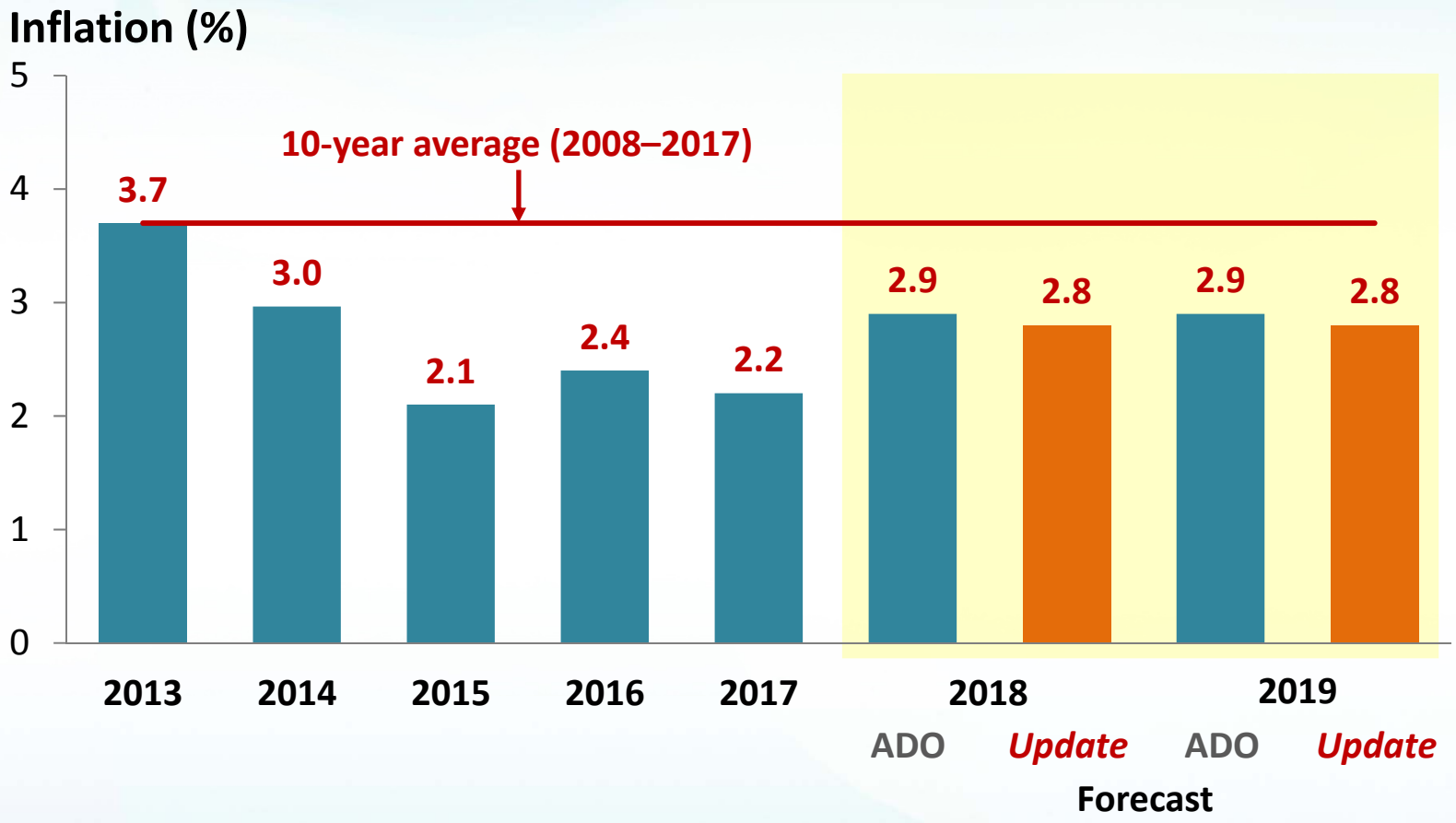
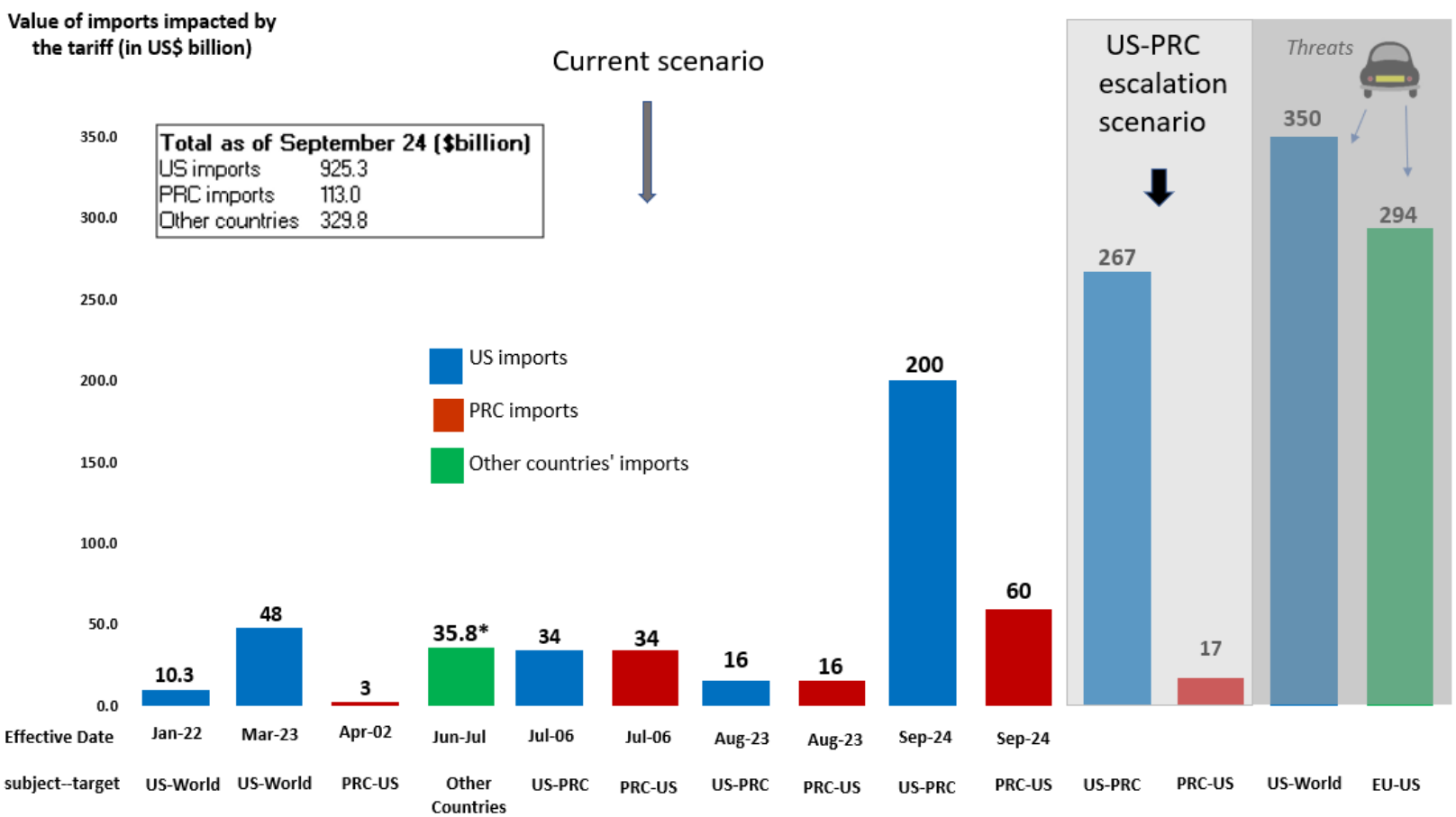
Inflation in check despite rising global commodity prices



Source: *Asian Development Outlook* database.

Trade conflict is main risk to the outlook…

Trade conflict chronology



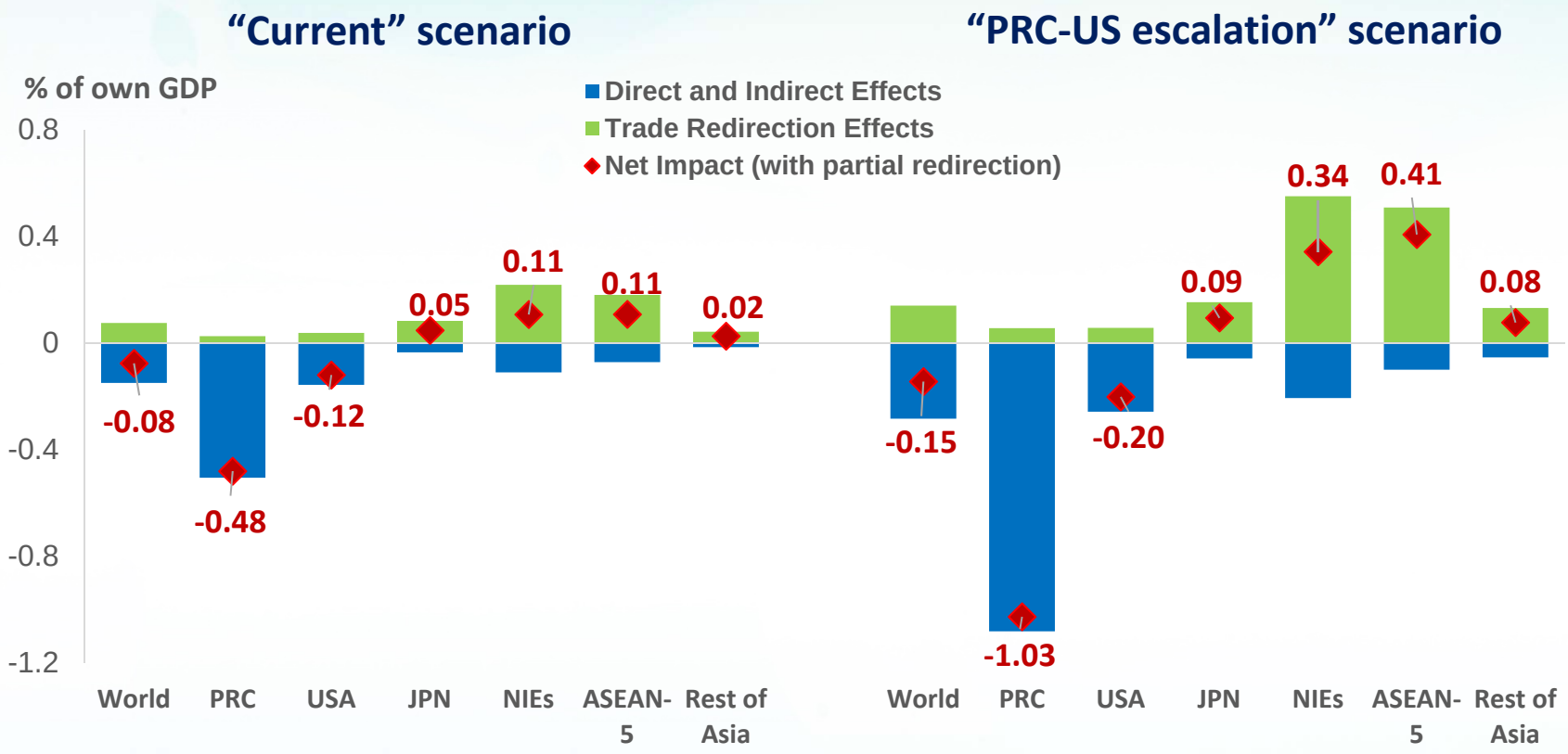
Note: ***'Current scenario'*** includes all tariffs implemented as of today among US, PRC and other countries. ***'US-PRC escalation scenario'*** includes measures in the current scenario *and* a 25% levy on all remaining bilateral US-PRC trade.

* The $35.8 billion in retaliatory tariffs against US steel and aluminum tariffs are by Mexico, EU, Canada, India, Russia, and Turkey. It excludes pending cases filed by EU (US$ 4.1 bn) and Japan (US$ 1.9 bn) via the WTO dispute settlement mechanism.

Source: ADB staff estimates based on published official information.

…with the PRC most affected

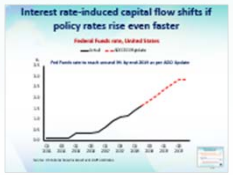
GDP impact of trade conflict by economic region



NIEs = newly industrialized economies of Hong Kong, China; Republic of Korea; Singapore; and Taipei,China. **ASEAN-5** = Indonesia, Malaysia, Philippines, Thailand, and Viet Nam. **Rest of Asia** = Bangladesh, Bhutan, Brunei Darussalam, Cambodia, Fiji, India, Lao People's Democratic Republic, Maldives, Mongolia, Pakistan, and Sri Lanka.
Source: ADB Staff estimates.

Other risks to the outlook also on the downside

- **Interest-rate induced capital flow shifts**
  - Baseline assumes rising path of US Fed interest rates
  - A more aggressive stance could reverse Asia's capital flows



- **Volatile oil prices**
  - Uncertain geopolitical developments add to financial market jitters

Improved fiscal and financial positions bolster developing Asia's resilience to shocks

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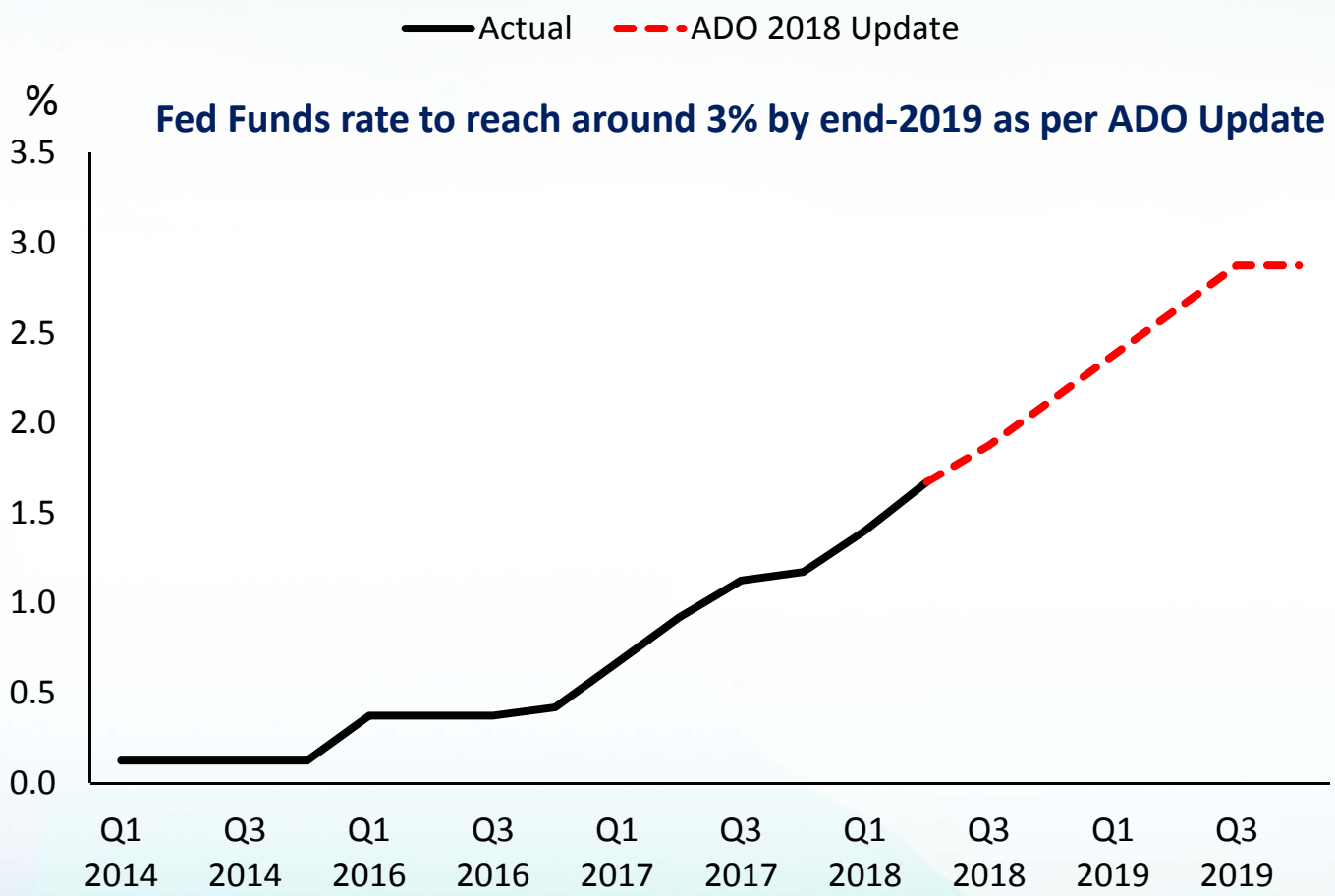
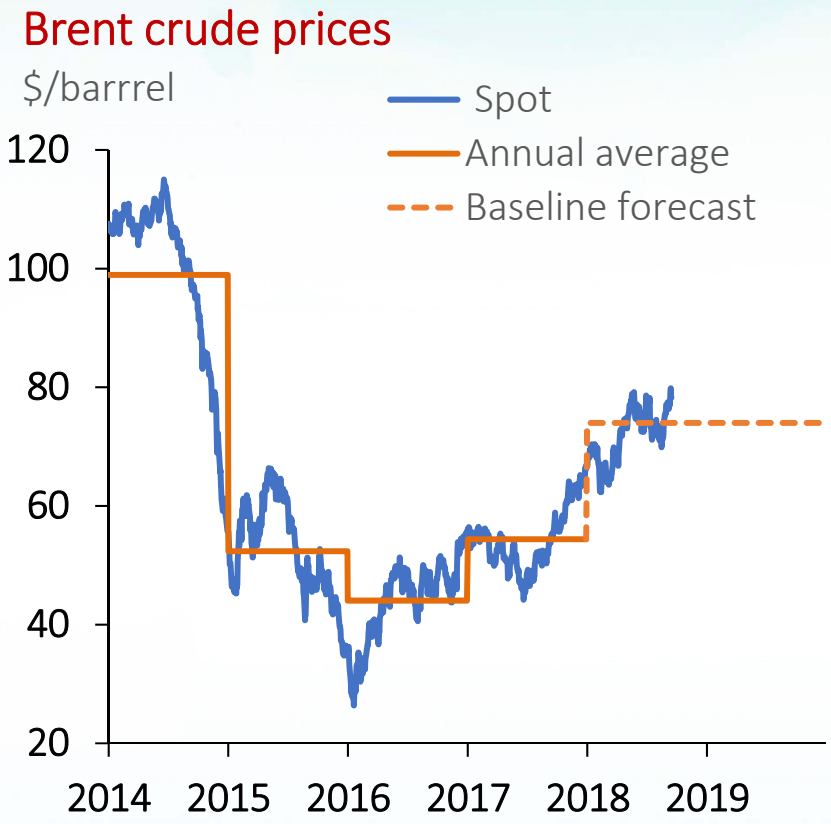
Interest rate-induced capital flow shifts if policy rates rise even faster

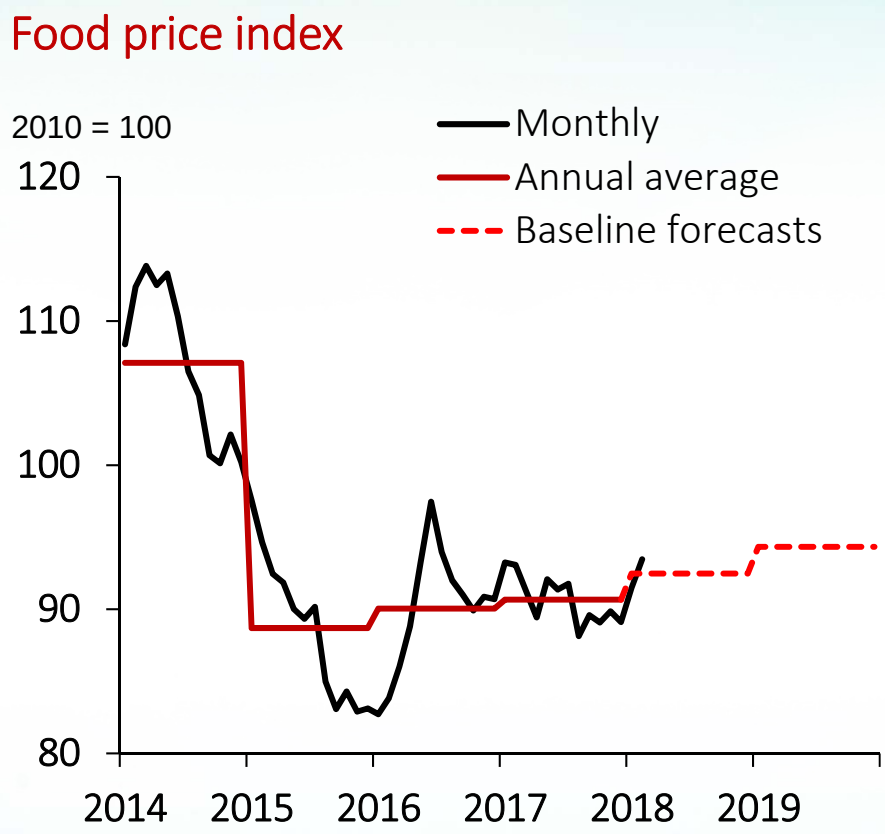
Federal Funds rate, United States



Source: US Federal Reserve Board and staff estimates.

..and volatile oil and commodity prices.



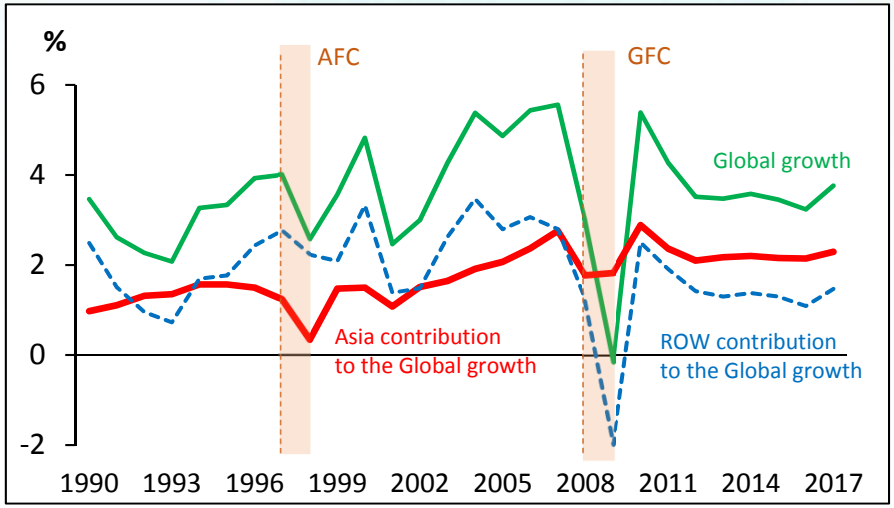


Sources: Bloomberg; World Bank. Commodity Price Data (Pink Sheet). http://www.worldbank.org (accessed 13 September 2018).

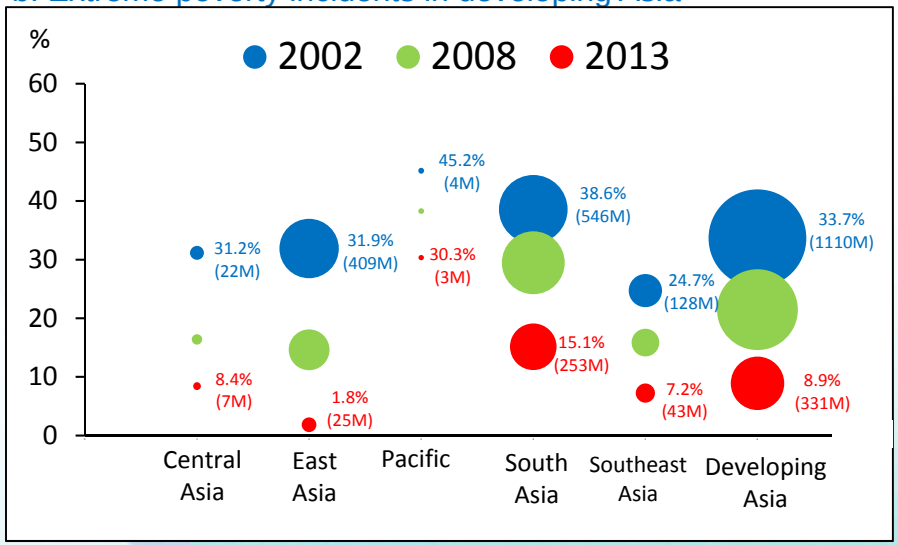
Theme chapter:
Maintaining stability amid heightened uncertainty

Asian economies had a good run since the AFC and weathered the GFC well…

a. Contributions to the global growth



b. Extreme poverty incidents in developing Asia



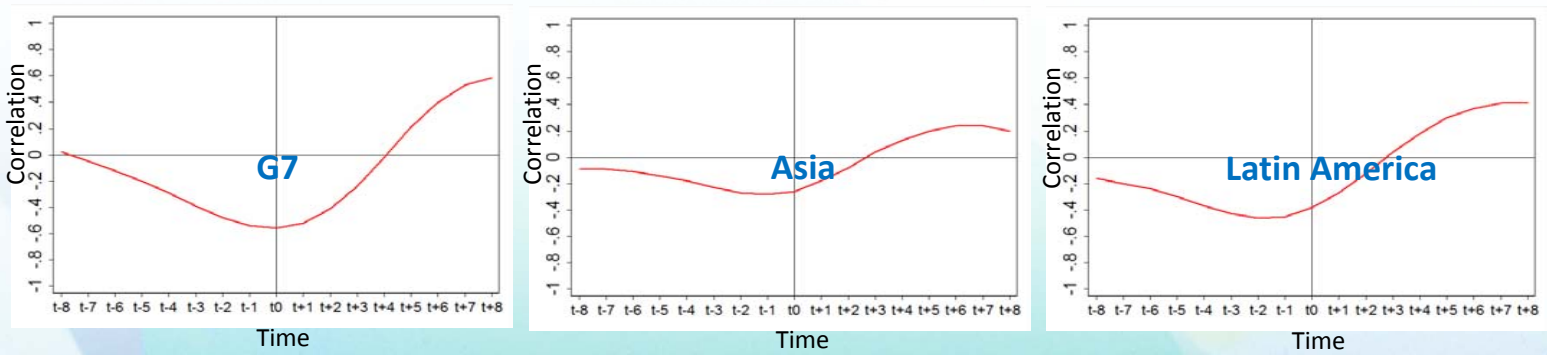
- Post-AFC, Asia DMCs accounted for more than 40% of the global growth
- Now account for over 60% of global growth, with 6.8% average growth rate post the GFC
- Supported by improved macroeconomic fundamentals with post-AFC restructurings and policy reforms, and buoyant external conditions
- Stable economic conditions reinforced development, income growth and poverty reduction

Contributions to the global growth of Asia and rest of the world are in percentage points.
Extreme poverty incidents in developing Asia
The bubbles represent the proportion of population in extreme poverty (<1.9 USD/day, 2011 PPP).

Changing external circumstances create heightened uncertainty that may disrupt the good run…

- Unwinding of QE in the US and in other advanced economies
- Slower growth in global trade and uncertainty going forward
- Asia is exposed to pockets of vulnerability that requires revisiting available policy tools
  - ✓ Interconnections between financial and real sector; and internal and external conditions
  - ✓ A policy stimulus needed at a point may create sources of vulnerability that could precipitate a potential future crisis
  - ✓ Policy tools are available to manage the pockets of vulnerability, but need to be re-examined for effective implementation

Correlations between leads and lags of credit to GDP and output, 2000Q1-2017Q4



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Emerging sources of vulnerability and policy responses

Main sources of vulnerability

- Volatile capital flows
- Currency pressures
- Debt buildup
- Rising house prices
- Cross-border contagion

Policy tools

- Conventional macro policies
  - Fiscal
  - Monetary
  - Exchange rate
- Unconventional policies
  - Macroprudential
  - Capital flow management

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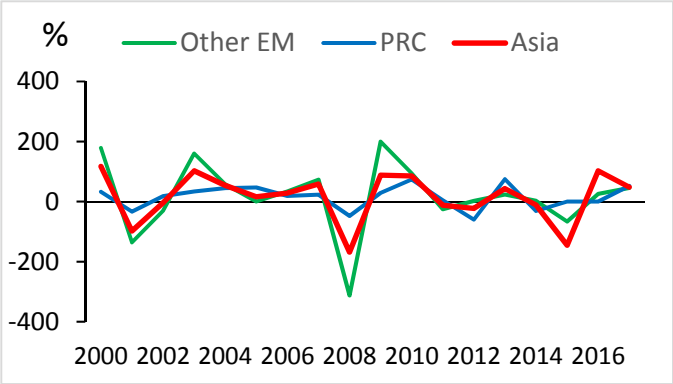
With high volatility in capital flows, sudden capital reversals may disrupt financial and economic stability

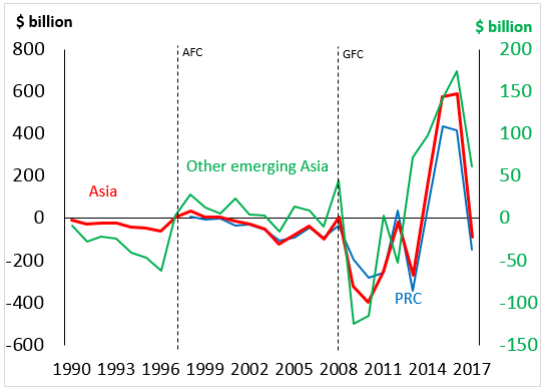
Non-resident inflow growth



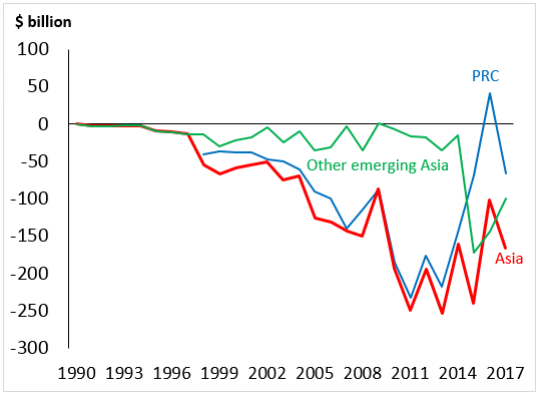
Other emerging Asia includes India, Indonesia, Malaysia, Philippines, Korea, Singapore, Taipei,China, Thailand, Vietnam and Hong Kong, China.

Large reversals in capital flow may disrupt credit growth that partly fuels the region's growth

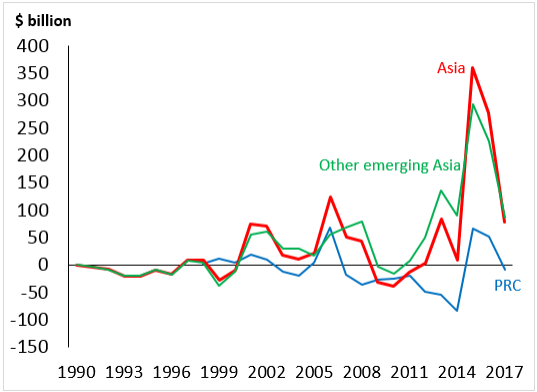
Net capital outflow



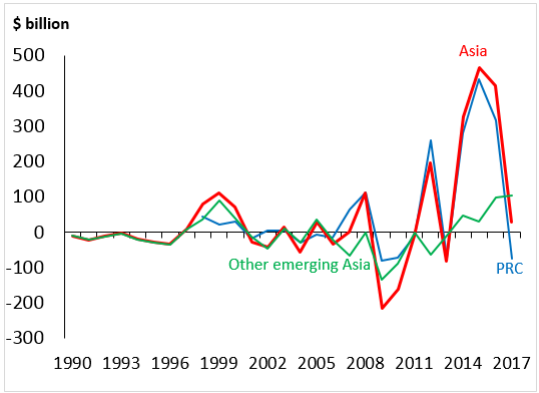
Direct investment



Portfolio investment



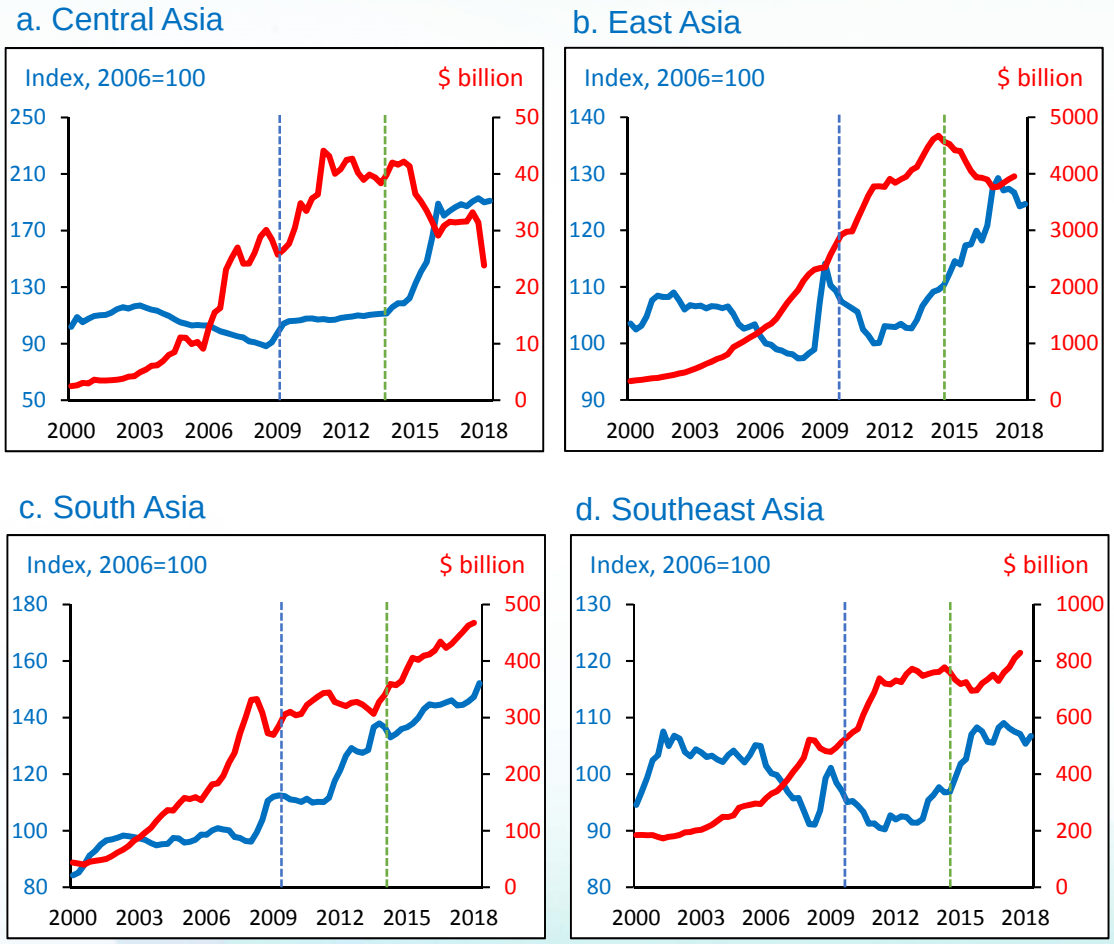
Other investment



Note:
BPM6 approach.
Negative = Net borrowing (net inflow)
Positive = Net lending (net outflow)

Regional currencies have come under pressure, underpinned by changing global liquidity

Nominal exchange rate and foreign exchange reserve



Notes: Blue dash line = Quantitative easing in March 2009. Green dash line = Taper Tantrum in May 2013.

- Many economies limited exchange rate movements by foreign exchange intervention or interest rate changes
- Sudden and large exchange market pressure can be disruptive to foreign exchange markets, run down finite reserves or constrain monetary policy

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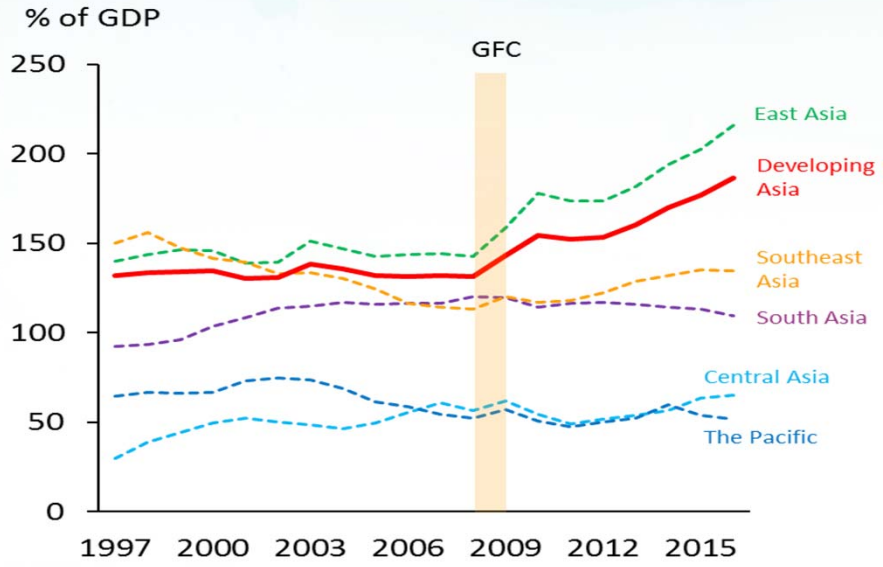
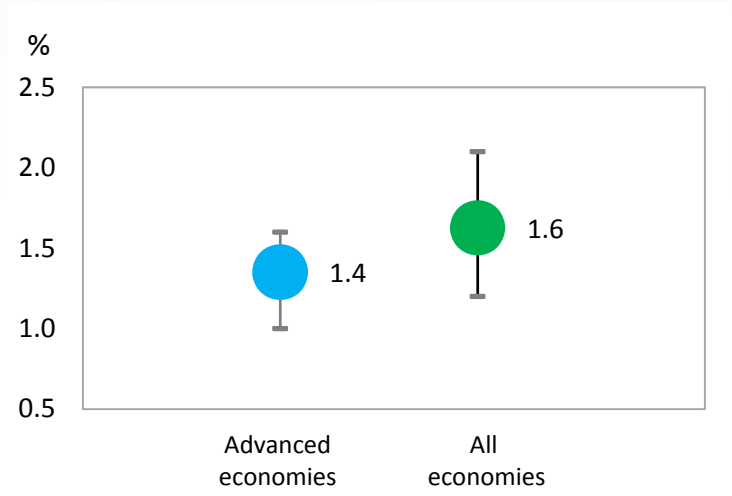
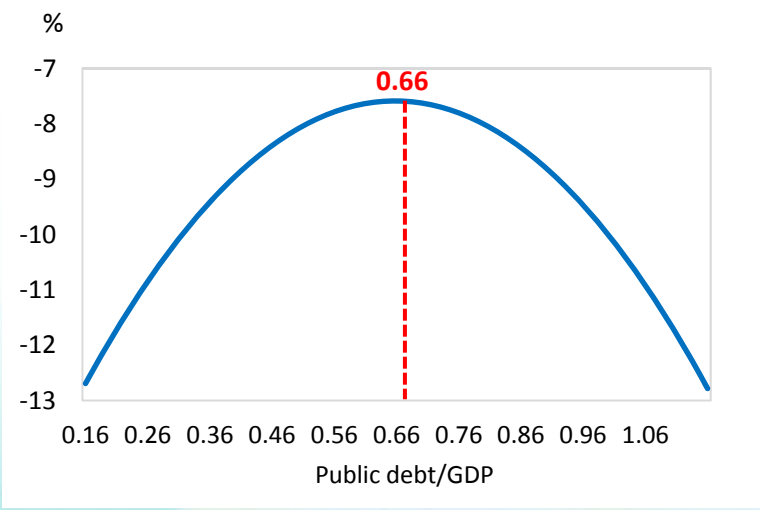
Debt buildups can weigh on real economy

Total debt relative to GDP



Depth of recession

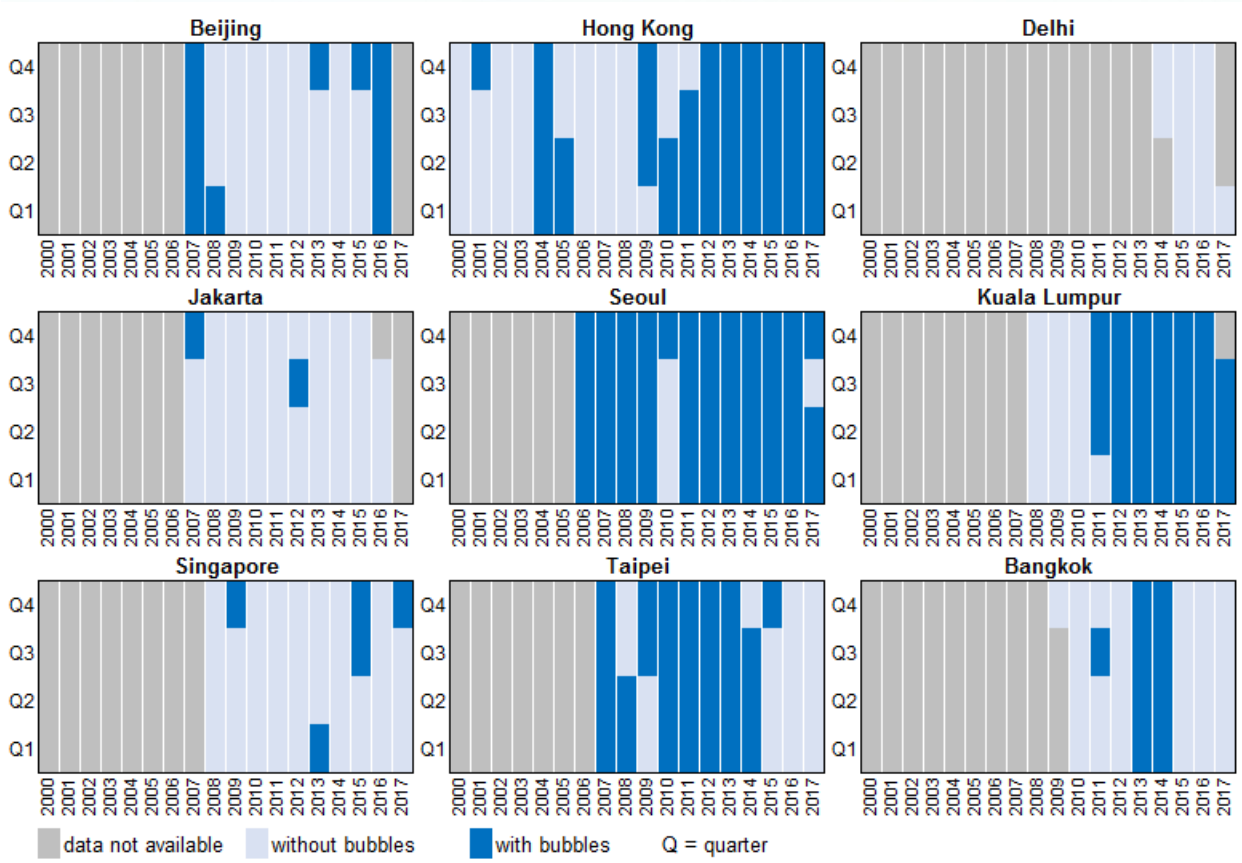




- ✓ Total debt/GDP increased faster post the GFC: Mainly driven by private debt
- ✓ Recession preceded by large debt buildups tends to be deeper
- ✓ Combination of debt buildups and fiscal space matter after a certain threshold

House prices have increased markedly in some Asian cities, exposing the region to a sharper downturn should prices reverse abruptly

Observed sharp increases in house prices by quarter



- Factors that drive a spike in prices: overheating economy, ballooning credit to housing, large drop in exchange rate, current account deficits (post-QE)
- Factors that prevent: higher interest rates, more equality in development within country
- Sharp and sudden housing price reversals tend to be associated with longer and deeper recessions.

Source: Han, X. et al, forthcoming.

Click to open housing simulation slide →

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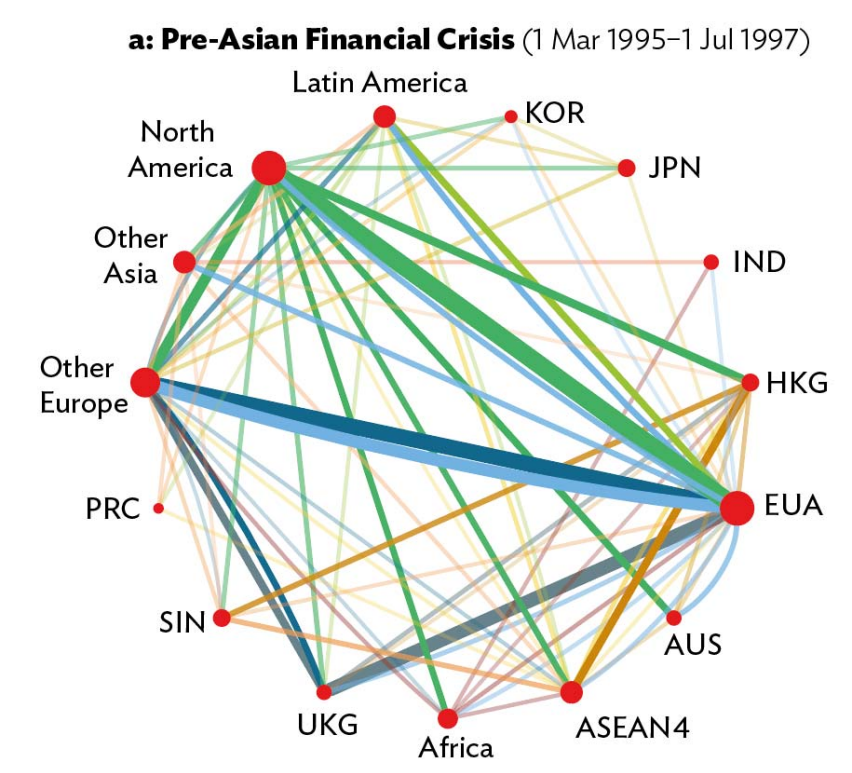
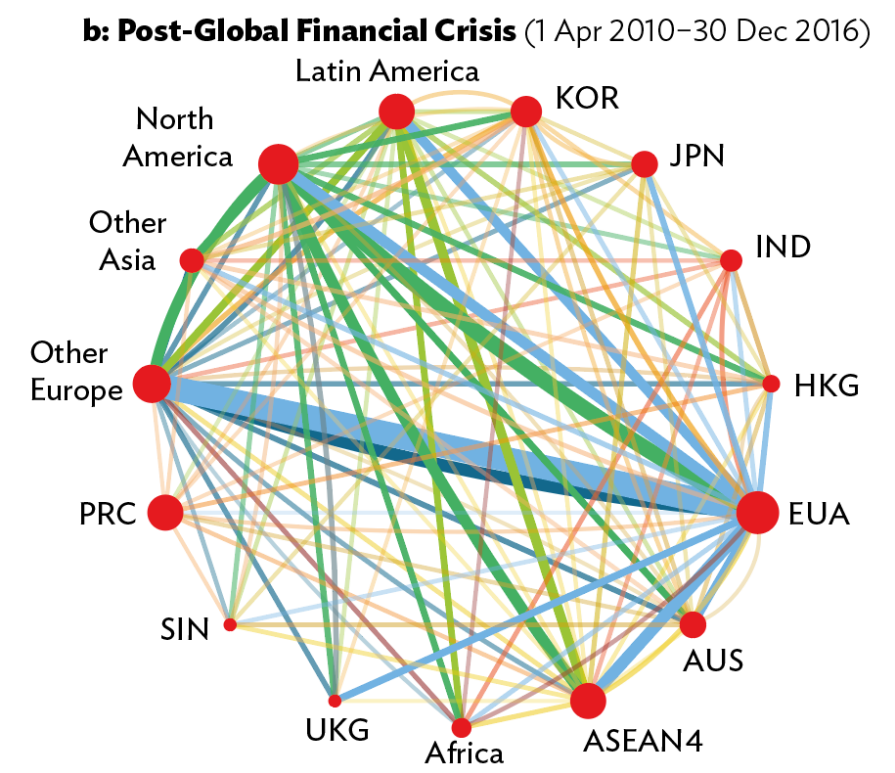
Deeper integration compounds susceptibility to shocks





ASEAN4 = Association of Southeast Asian Nation (Indonesia, Malaysia, Philippines, and Thailand); AUS = Australia; EUA = euro area; HKG = Hong Kong, China; IND = India; JPN = Japan; KOR = Republic of Korea; PRC = People's Republic of China; SIN = Singapore; UK = United Kingdom.

Notes: The figure displays the returns-based network of 15 equity markets and regional groupings from 1 March 1995 to 30 December 2016. Edges were calculated using bivariate Granger causality tests between markets at the 5% level of significance. The thickness of the lines indicates the average relative strength of each market (or regional grouping). The size of the nodes increases with the number of outward links of each respective market (or regional grouping).

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Implement policy carefully to manage multiple risks effectively

Macroeconomic stabilization tools

- Fiscal policy
- Monetary policy
- Exchange rate regime

- Capital flow management
- Macroprudential policy

- Hybrid policies

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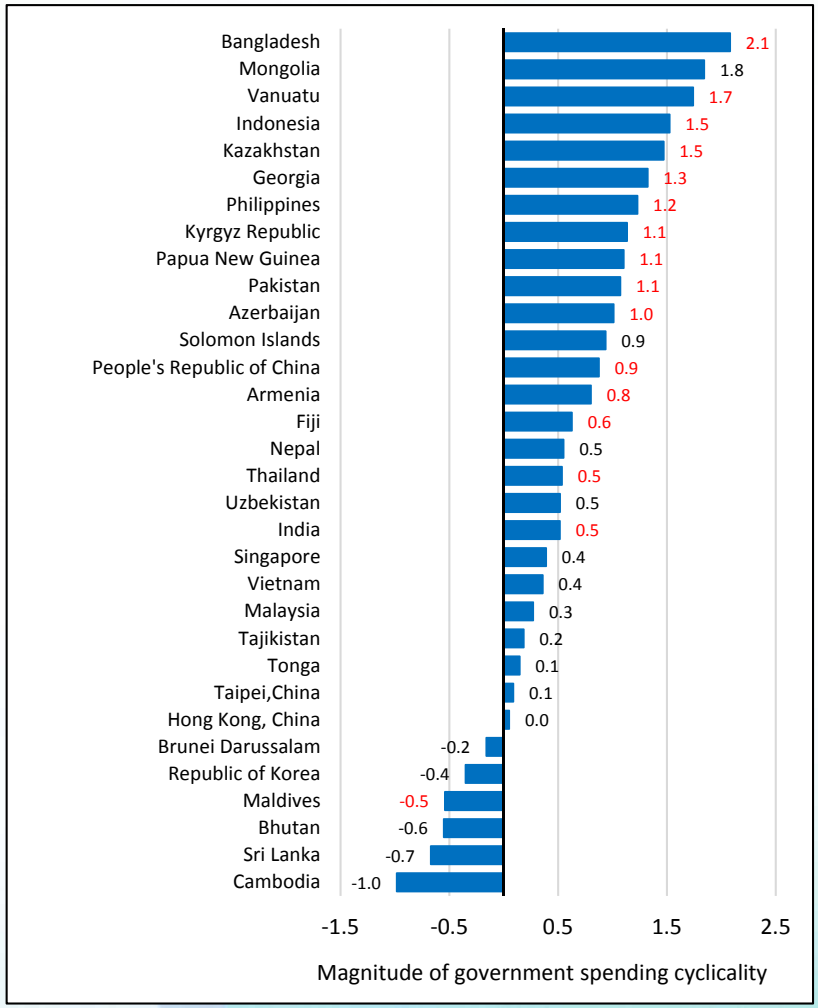
Countercyclical fiscal policy can stabilize business cycle fluctuations and prevent a deep slowdown provided there is ample fiscal space

Magnitude of government spending cyclicality $\hat{\beta}GS$ in developing Asia, sample period 1960-2016



- Procyclical fiscal policy amplifies vulnerability to shocks as it consumes valuable fiscal space during good times and leaves little for bad times.
- Limited fiscal space constrains countercyclical spending
- To enable discretionary countercyclical fiscal policy, countries need to go beyond expanding their fiscal space by reducing debt or increasing the tax base; to investing in countercyclical fiscal buffers - well governed sovereign wealth funds and safety nets

Notes: $\hat{\beta}GS$ is estimated by country using Prais-Winsten approach to correct for the first order-autocorrelation in the residuals. The sample period is 1960-2016. The countries are grouped based on Asian Development Bank classification.
Source: Aizenman, J. et al, forthcoming.

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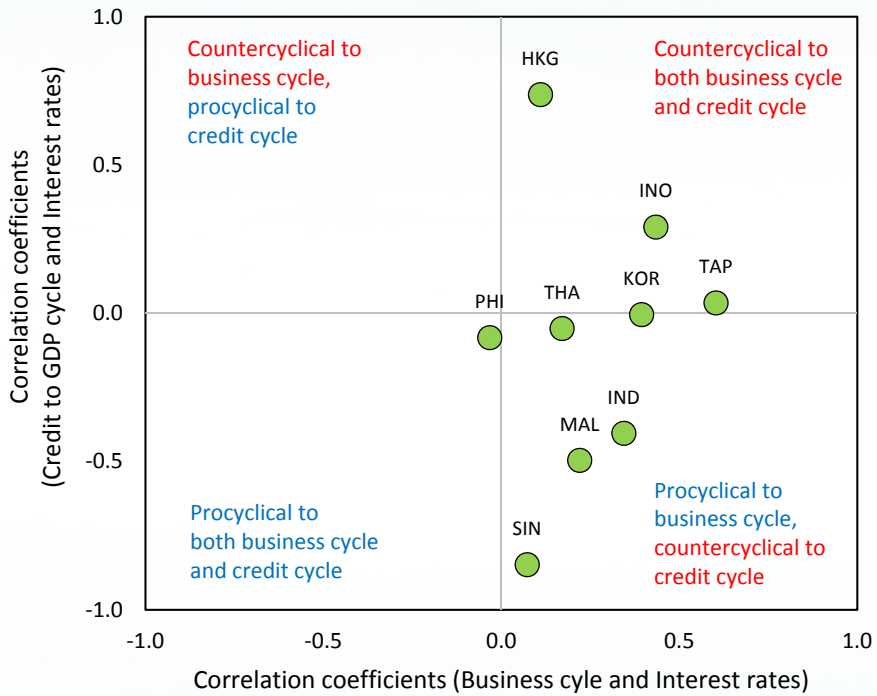
Monetary policy can be effective for countercyclical stabilization…



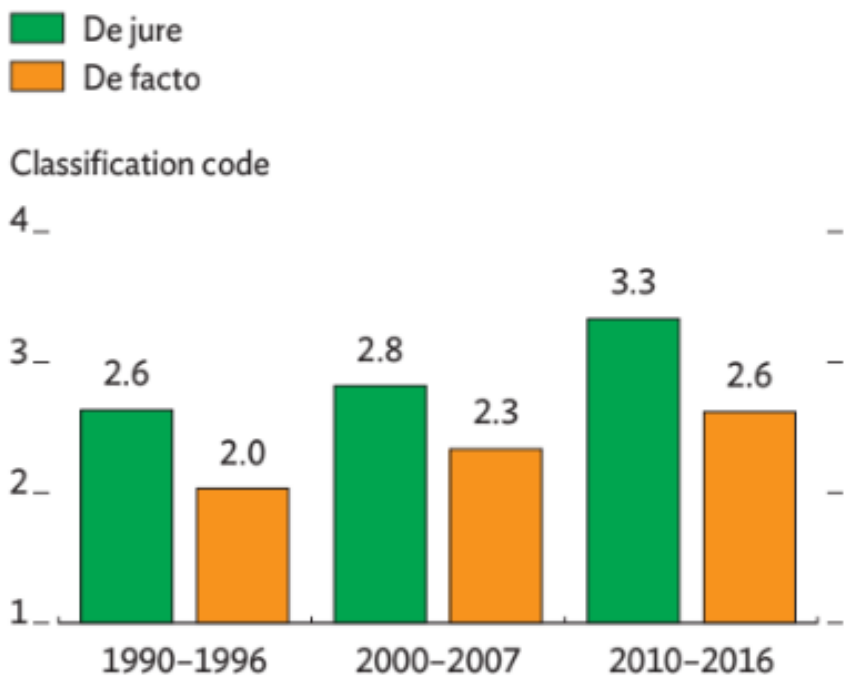
- Monetary policy is an effective tool for stabilization:
  - ✓ monetary policy tightening leads to slowdown in output, inflation, and credit
- Monetary policy is not always been countercyclical against output and credit
- Effectiveness of monetary policy may be undermined when business and credit cycles are asynchronous

Exchange rate regime matters—greater flexibility better insulates against global shocks

The Impact of VXO and Londono-Wilson Index on various variables in EMEs

	Variables	(2)	(3)	(4)	(5)
Real domestic credit growth					
	log(VXO)	-1.3**	-1.2**	-1.0	
VXO	Inter × log(VXO)	-0.4	-0.4	-0.4	-0.8
	Fix × log(VXO)	-2.5**	-2.5**	-2.8**	-2.8**
	LW	-0.6	-0.5	0	
LW	Inter × LW	-0.6	-0.7	-0.7	-1
	Fix × LW	-3.0**	-3.0**	-3.3**	-2.8**
Real house price growth					
	log(VXO)	0.1	0.1	0.0	
VXO	Inter × log(VXO)	-0.1	-0.1	-0.3	0.2
	Fix × log(VXO)	-6.2***	-6.2***	-6.2***	-5.4***
	LW	-0.3	-0.3	-0.2	
LW	Inter × LW	0.6	0.7	0.5	0.7
	Fix × LW	-6.8***	-6.8***	-6.8**	-6.0**
Net capital flows					
	log(VXO)	0.0	0.1	0.4	
VXO	Inter × log(VXO)	-1.3	-1.4	-1.7	-1.6
	Fix × log(VXO)	-4.7**	-4.7**	-4.5***	-4.6**
	LW	0.8	0.9	1.4	
LW	Inter × LW	-1.5	-1.4	-1.2	-1.6
	Fix × LW	-3.5*	-3.4*	-2.7*	-3.4*
Real GDP growth					
	log(VXO)	-0.5***	-0.5***	-0.5***	
VXO	Inter × log(VXO)	-0.2	-0.2	-0.3	-0.4**
	Fix × log(VXO)	-0.8**	-0.8**	-0.9**	-0.9**
	LW	-0.2	-0.3*	-0.1	
LW	Inter × LW	-0.4**	-0.4*	-0.5**	-0.4*
	Fix × LW	-0.9***	-0.9**	-0.8**	-0.9**

- ✓ Economies with pegged regimes experience faster deterioration in financial and macroeconomic conditions, compared to flexible regimes when exposed to global shocks.

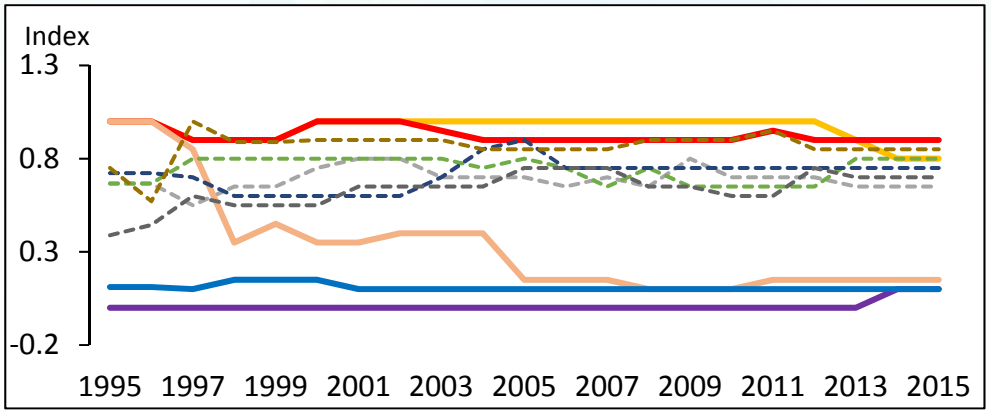


1 = pre-announced peg, 2 = crawling peg, 3 = managed float, 4 = flexible.
Note: Average of the exchange rate regimes in India, Indonesia, Malaysia, the People's Republic of China, the Philippines, the Republic of Korea, Singapore, Thailand, and Viet Nam.

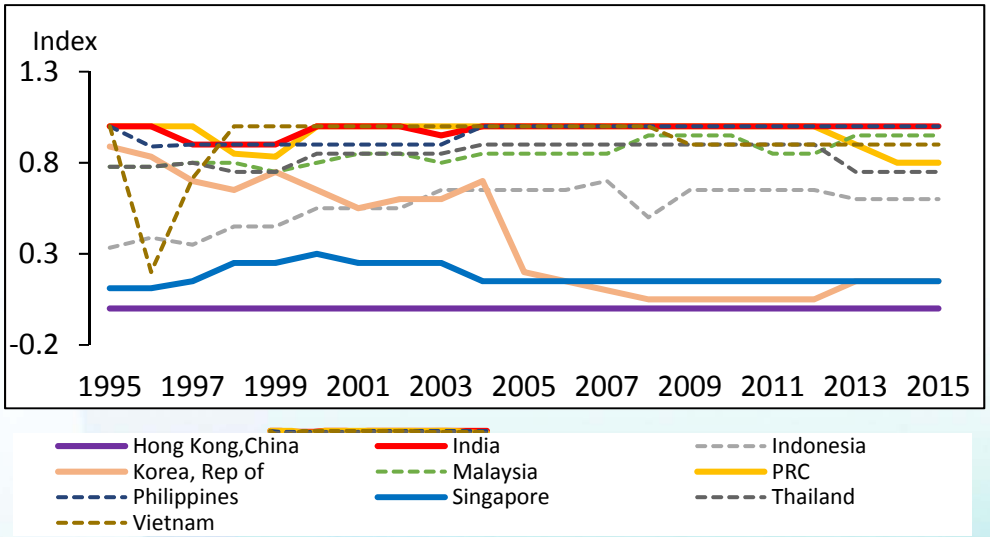
Capital account policies were used quite actively in Asia …

Capital restriction indices

a. Total inflow restriction index

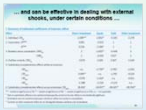


b. Total outflow restriction index



- Restrictions on certain flows tend to be more effective at controlling their volume
- Complementarity and substitution exists between different components of flows, both within a country and across borders
- Controls on direct investment and debt inflows are most effective in alleviating appreciation pressure
- Greater monetary policy independence under a pegged exchange rate regime is achievable with controls on inflows, especially debt

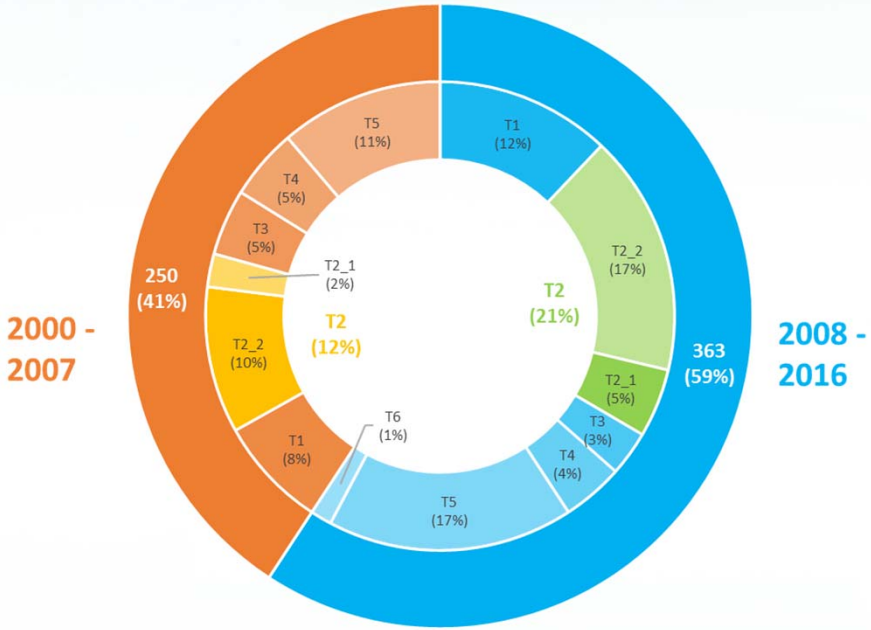
Click to open result slide →



Source: Fernández, Klein, Rebucci, Schindler and Uribe (2016) updated in 2017

Macroprudential policies have gained more popularity since the global financial crisis

Observe interventions in Asia by episodes



Target indicators:

T1 = Bank health measure
T2 = Domestic lending
T2_1 = Housing related lending
T2_2 = Non-housing related lending
T3 = Exchange rate interventions
T4 = Foreign capital movement
T5 = House price
T6 = Monetary policy support

Asia includes Australia, PRC, Georgia, Hong Kong, China, India, Indonesia, Kazakhstan, Korea, Malaysia, Mongolia, New Zealand, Pakistan, Philippines, Singapore, Sri Lanka, Taipei,China, Thailand, and Vietnam

Source: Khan, F., Ramayandi, A., and Schröder, M., forthcoming.

… but effectiveness in addressing stability issues depends on prevailing macroeconomic conditions

- ✓ MPP effectiveness can be hampered if implemented when output gap is high, current account deficit is large, credit cycle is slowing and global financial uncertainty is high
- ✓ It also tend to be more effective when it was not overridden by MP, MPP conducted simultaneously at the same time when external debt is growing
- ✓ When promoting financial stability, MPP can distort financial inclusion by imposing constraints on new and smaller firms

Safeguarding Asia against heightened uncertainty

- **Macroeconomic management requires close monitoring of vulnerabilities**
- **Policy tools are plentiful, but favorable results require coordination:**
  - ✓ **Domestic policy coordination to boost effectiveness**
  - ✓ **Cross-border cooperation to avoid unwanted external spillovers**
- **Stabilization policies work best where fundamentals are strong**

ADB

ADO Update - Summary

- **Developing Asia to continue solid growth at 6.0% in 2018 and 5.8% in 2019**
  - **Robust consumption and expanding services boost growth in the People's Republic of China (PRC)**
  - **India rebounding as headwinds fade**
- **Inflation under control despite rising fuel and food prices**
- **Largest downside risk stems from escalating US–PRC trade conflict**
- **Heightened global uncertainty exposed pockets of vulnerability; stabilization policy must be tapped when needed**

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Thank you!

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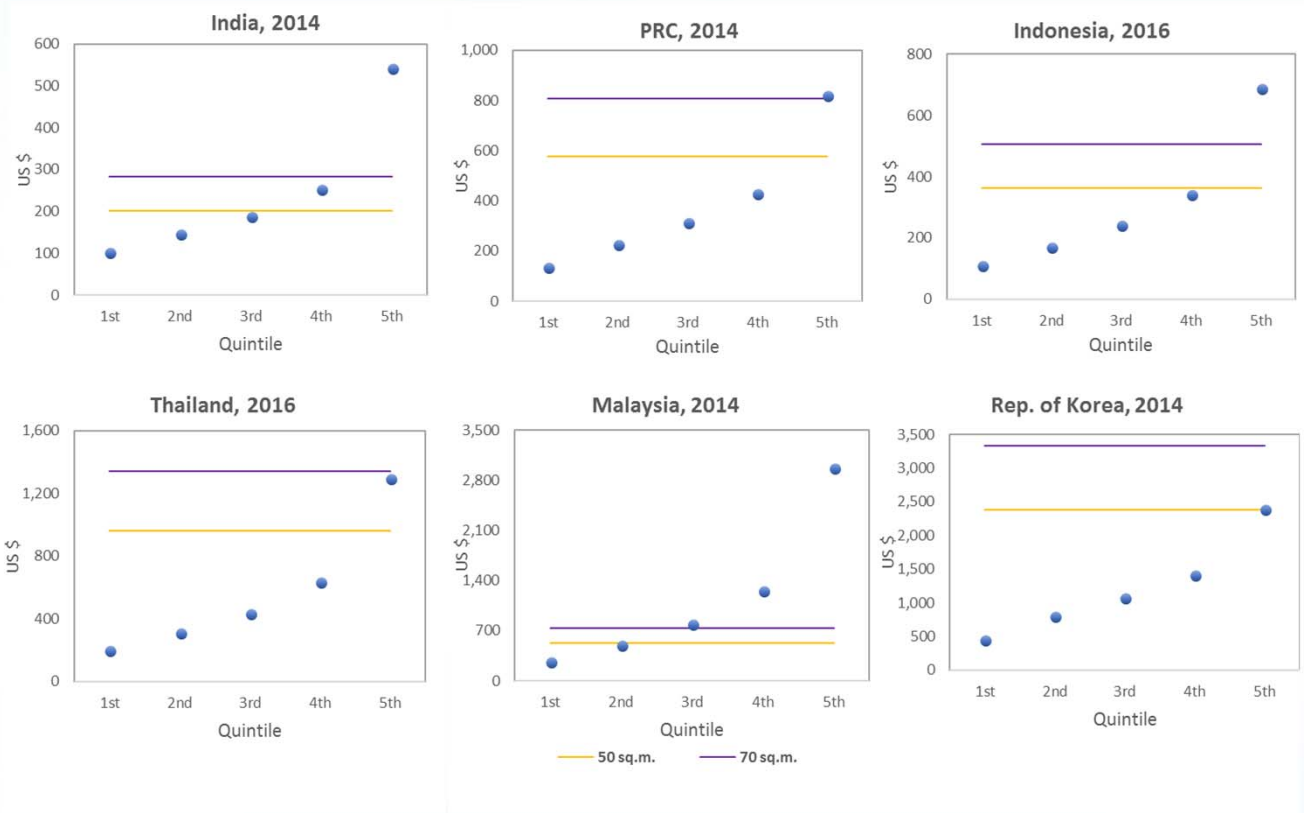
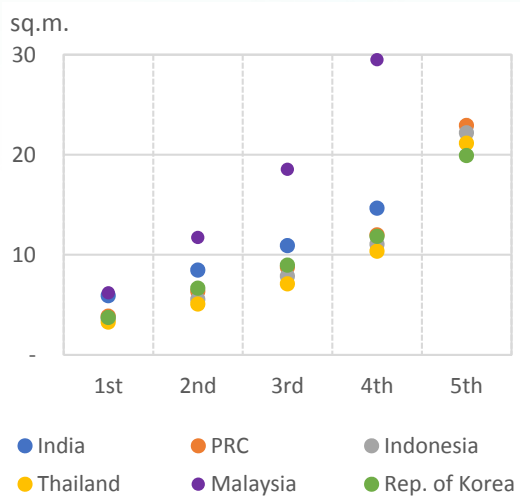
Appendix

… housing is mostly unaffordable to the lower income group

Housing affordability (national average)

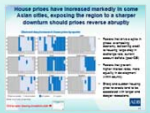


Floor area per capita



Note: 40% of average monthly household income (dots) vs. monthly housing amortization (lines).

Click to go back to housing slide →



… and can be effective in dealing with external shocks, under certain conditions …

1 Summary of estimated coefficients of interests: inflow

Effect	Direct investment	Equity	Debt	Other investment
1. Individual: $CRI_{k,it}$	–1.089***	–2.851**	–0.105	–2.278
2. Asymmetric: $D^{tighten}$	0.892	–0.033	1	1
D^{loosen}	0.236	–2.585*	1	1
3. Resident versus nonresident: $CRNI_{k,it}$	2	–1.650**	–0.448	3
$CRRI_{k,it}$	2	–0.934	0.927	3
4. Outflow controls: $CRO_{k,it}$	–0.074	2.028	0.407	–2.540
5. Substitution/complementary effects within an economy:				
CRI_{direct}	n.a.	–1.739**	–0.781*	–1.034
CRI_{equity}	–3.695**	n.a.	–1.760	–8.214
CRI_{debt}	–0.076	–1.414*	n.a.	–6.811
CRI_{other}	–1.288	–1.219	–0.123	n.a.
6. Substitution/complementary effects across economies: $CRI_{k,j\neq it}$	18.426*	–18.007**	–38.425**	–85.784**

*** = statistical significance at 1%, ** = statistical significance at 5%, * = statistical significance at 10%, n.a. = not applicable.

[1] Test on asymmetric effects is not carried out because the control on its own inflow is not statistically significant.

[2] Estimations are not carried out because controls on inflow are mostly on nonresidents.

[3] Controls on other investment inflow do not distinguish between residents and nonresidents.

2 Summary of estimated coefficients of interests: outflow

Effect	Direct investment	Equity	Debt	Other investment
1. Individual: $CRO_{k,it}$	-8.966	1.747	2.276	–3.203***
2. Asymmetric: $D^{tighten}$	1	1	1	0.243
D^{loosen}	1	1	1	–3.520
3. Resident versus nonresident: $CRNO_{k,it}$	2	–0.755	1.571	3
$CRRO_{k,it}$	2	1.409	0.926	3
4. Inflow controls: $CRI_{k,it}$	–0.932	–2.145***	2.470	1.913
5. Substitution/complementary within an economy:				
CRO_{direct}	n.a.	–2.355***	1.063	1.138
CRO_{equity}	–0.114	n.a.	2.504**	11.568
CRO_{debt}	–4.677	0.136	n.a.	–5.336
CRO_{other}	1.397	–6.386	0.030	n.a.
6. Substitution/complementary across economies: $CRO_{k,j\neq it}$	12.221	30.799*	–36.806	–166.183***

*** = statistical significance at 1%, ** = statistical significance at 5%, * = statistical significance at 10%, n.a. = not applicable.

[1] Test on asymmetric effects is not carried out because the control on its own inflow (the preceding result) is not statistically significant.

[2] Estimations are not carried out because controls on outflow are mostly on residents.

[3] Controls on other investment outflow do not distinguish between residents and nonresidents.

Click to go back to capital restriction slide →

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